# The Middle East's Great Power Competition

## US-China Rivalry and the Arab World's Multipolar Pivot

**Blue Lotus Research Intelligence | August 2026**

Classification: Open Intelligence

## Executive Summary

The Middle East has been a zone of American strategic primacy since the Quincy Pact of 1945 — the agreement between President Franklin Roosevelt and King Abdulaziz Ibn Saud aboard the USS Quincy — which established the foundational template of the US-Gulf security relationship: American security guarantees in exchange for reliable oil supply and petrodollar recycling . For eight decades, this architecture sustained dollar hegemony through the petrodollar system, funded American military forward presence through Gulf host nation support, and embedded US geopolitical primacy within the economic structure of the global oil market. The Cold War alignment of Gulf monarchies with the West, the 1973 petrodollar agreement between Nixon/Kissinger and Saudi King Faisal, and the post-1990 Gulf War institutionalisation of the CENTCOM basing architecture consolidated a hegemony that seemed, as recently as 2010, self-sustaining.

The decade from 2013 to 2023 revealed the fragility of this architecture. China has become the largest trading partner of all six GCC states . More than 70% of Gulf oil exports now flow to Asian markets, primarily China . China's brokerage of the Saudi Arabia-Iran diplomatic rapprochement in March 2023 — the most consequential diplomatic achievement in the Middle East in a generation — demonstrated a Chinese willingness and capacity to exercise mediating influence in a domain previously reserved for American diplomacy . Yet the US security architecture remains structurally intact: CENTCOM bases, arms treaties, and the fundamental calculation that no regional state is prepared to substitute Chinese security guarantees for American ones. What has emerged is not US replacement by China but a multipolar competitive order in which energy-wealthy regional states exercise unprecedented strategic autonomy, leveraging competing great-power interests to extract maximum advantage from both Washington and Beijing simultaneously.

## Part I — China's Gulf Strategy: Energy, Investment, and Infrastructure

China's engagement with the Arab world is structurally driven by energy security. China imports more than 70% of its oil consumption, with the Gulf and Africa constituting the primary sources . This dependency creates a strategic imperative: China must maintain stable relationships with Gulf oil producers regardless of US preferences or pressure, and must develop infrastructure and financial relationships that reduce the vulnerability of this supply chain to potential US interdiction during any future Sino-American conflict.

The Belt and Road Initiative has channelled more than $23 billion in documented Chinese investment into MENA over the period 2013-2023 . BRI infrastructure investments across the region include port facilities, rail links, and industrial zones that serve Chinese commercial interests while also creating strategic positioning with diplomatic consequences. The most symbolically significant example is the Shanghai

International Port Group's 25-year container terminal lease at Israel's Haifa Bay Port — the Bayport Terminal, which became operational in 2021 . The Haifa investment attracted specific US concern because the port is used by US Navy vessels conducting 6th Fleet operations in the Eastern Mediterranean, creating a scenario in which Chinese port operators are in proximity to US naval operational patterns .

China-Saudi Arabia commercial relationships have deepened substantially. Saudi Aramco holds a 10% equity stake in the Huajin Aramco Petrochemical Company refinery and petrochemical complex in Panjin, Liaoning province — a $50 billion investment that anchors Saudi oil supply to Chinese refining infrastructure . The PIF has made investments in Chinese electric vehicle manufacturers as part of its technology diversification portfolio, and the March 2023 first yuan-denominated oil trade settlement, executed through the Shanghai Petroleum and Natural Gas Exchange, marked a symbolic — if as yet small-scale — challenge to dollar exclusivity in Gulf oil pricing .

China's 25-year comprehensive cooperation agreement with Iran, signed in 2021 and encompassing up to $400 billion in investment across energy, infrastructure, and military-to-military cooperation over the agreement's term, represents the most ambitious China-MENA bilateral framework . Implementation has been substantially limited by the secondary sanction risk facing Chinese banks and companies engaged with sanctioned Iranian entities — Chinese financial institutions have largely declined to process Iran-linked transactions for fear of exclusion from US dollar clearing systems . This constraint illustrates the continuing leverage that dollar system control provides the United States even in relationships where US political influence has significantly diminished.

The Dragon Mart complex in Dubai — the world's largest Chinese goods trading hub outside mainland China — represents the commercial depth of China-UAE economic integration, complemented by DP World-COSCO shipping cooperation and extensive Huawei smart city infrastructure deployments in Abu Dhabi and Dubai . The subsequent partial wind-down of Huawei UAE deployments under US pressure, through G42's 2024 restructuring, demonstrates both the depth of Chinese economic penetration and the continuing effectiveness of US pressure on its Gulf partners when geopolitical stakes are high.

---

## Part II — The Petrodollar System and Its Challengers

The petrodollar architecture, constructed through the 1973-1974 diplomatic engagement between the Nixon administration and Saudi King Faisal, established a system of mutual dependence that underpinned dollar global reserve currency status for half a century. Saudi Arabia, and the GCC states following its lead, priced oil exclusively in US dollars, recycled their petrodollar surpluses into US Treasury securities and other dollar-denominated assets, and in return received an implicit US security guarantee formalised through arms sales and military basing arrangements .

The structural significance of this system to US geopolitical power cannot be overstated. Dollar oil pricing creates structural global demand for dollars — every country that imports oil must first acquire dollars to purchase it, sustaining dollar demand independent of US trade balances. Dollar recycling into US Treasuries provides the United States with foreign financing for its fiscal deficit at rates lower than would otherwise prevail, a subsidy to US public spending worth hundreds of billions of dollars annually. The system's erosion — even marginal, even primarily symbolic — carries genuine long-run fiscal and geopolitical consequences for American power.

The stress indicators on the petrodollar system have multiplied since 2022. The March 2023 yuan-denominated Saudi-China oil trade, while representing a small fraction of total Saudi oil sales, signalled Saudi Arabia's willingness to demonstrate strategic optionality . Russia, India, and China have developed parallel payment systems following the 2022 Ukraine invasion sanctions, demonstrating that dollar-independent trade settlement is technically feasible at scale even if adoption beyond the sanctions-exposed sphere remains limited. Saudi Arabia joined the Shanghai Cooperation Organisation as a dialogue partner in 2023 and has engaged actively with BRICS dialogue processes, signals of diversified strategic alignment that would have been unthinkable in any US Gulf relationship of previous decades .

The US strategic response to petrodollar system erosion has been primarily expressed through the Israel-Saudi normalisation framework: a comprehensive security arrangement that would grant Saudi Arabia a formal US security treaty commitment and civil nuclear cooperation in exchange for Saudi recognition of Israel. From Washington's perspective, this arrangement would structurally anchor Saudi Arabia within the US-led regional order, counterbalancing Chinese economic penetration with an irreversible security commitment that Beijing cannot offer. October 7, 2023 suspended normalisation negotiations indefinitely, removing the primary US instrument for strategic reassertion in the Gulf in the near term .

---

## Part III — Russia in the Middle East: Syria, Libya, and OPEC+

---

Russia's Middle East engagement is structurally different from China's — it is primarily military and energy-political rather than commercial — and its post-Ukraine trajectory illustrates both the continuing relevance and the growing constraints of Russian regional influence. The 2015 military intervention in Syria, which prevented the collapse of the Assad government, established Russia as the primary external guarantor of Syrian state survival and created two enduring strategic assets: Hmeimim Air Base in Latakia province and the Tartus Naval Facility — Russia's only Mediterranean warm water port and a forward logistics base for the Russian Navy's Mediterranean Squadron .

The Russian military presence in Syria has enabled Russia to exercise influence over Syrian airspace management, including a bilateral deconfliction mechanism with Israel that allowed the Israeli Air Force to strike Iranian and Hezbollah targets in Syria without Russian interference — an arrangement maintained through direct communication between Prime Minister Netanyahu and President Putin that reflected the large Russian-speaking Israeli population and Israel's careful cultivation of the relationship . Russia broke from this cooperative posture following October 7, 2023, voting against Israeli positions in UN Security Council proceedings and suspending some elements of the deconfliction relationship .

Wagner Group operations in Libya — embedded with the Libyan National Army under Field Marshal Khalifa Haftar in the eastern Libyan power structure — placed approximately 1,200 or more Russian mercenary fighters on Libyan soil . Libya's oil infrastructure and Mediterranean coastline location make it strategically valuable for Russian power projection, and the presence of Russian forces complicated NATO's efforts to stabilise Libya's political settlement. Russia's OPEC+ coordination with Saudi Arabia — the arrangement that has governed global oil production volumes since 2016 — represents Russia's most economically significant Middle East relationship, one that survived the Ukraine conflict and the associated Western pressure on Saudi Arabia to break with Moscow on energy market management .

Russia's strategic position in MENA has been constrained since February 2022 primarily through the diversion of Russian military resources from Syria and Libya toward Ukraine: Wagner Group fighters redeployed, weapons systems withdrawn from Syria, and Russian economic capacity to sustain Middle East influence operations reduced by sanctions . The Rosatom nuclear reactor projects — the El-Dabaa project in Egypt (four VVER-1200 reactors, approximately $30 billion contract, 2015) and the Akkuyu project in Turkey (four reactors, approximately $20 billion) — represent Russia's longest-duration commercial commitments in the region and create infrastructure dependency relationships that persist regardless of short-term political fluctuations .

---

## Part IV — US Strategic Rebalancing: From MENA Dominance to Managed Retreat

US strategic rebalancing from MENA toward the Indo-Pacific has been official policy since the Obama administration's "Pivot to Asia" declaration in 2011 . The logic was compelling: China's rise presents a challenge of a different order of magnitude than any Middle East threat, and maintaining 40,000-65,000 troops in a region where no peer competitor is contesting US primacy represents an opportunity cost of resources better deployed toward the Pacific theatre. Yet every US administration since Obama has discovered the same constraint: MENA's conflicts are sticky, the security infrastructure is deeply embedded, and the consequences of precipitous withdrawal are politically catastrophic.

The Afghanistan withdrawal of August 2021 — chaotic in execution, generating imagery of the Kabul airport evacuation that became a defining narrative of US strategic retreat — demonstrated the political and reputational costs of visible disengagement, even from a conflict that had consumed over $2 trillion and achieved no durable outcome . The withdrawal paradoxically reinforced Gulf Arab doubts about US reliability — concerns that the Biden administration spent much of 2022 and 2023 trying to address through arms sales, security pledges, and the Israel-Saudi normalisation framework. US troop levels in MENA remained at 40,000-65,000 throughout the rhetorical rebalancing period, reflecting the gap between strategic intent and operational reality .

The Abraham Accords strategy represents the US attempt to create a self-sustaining regional security architecture that reduces the American footprint requirement: if Israel, Saudi Arabia, UAE, Bahrain, and eventually other Arab states develop integrated air defence networks, economic partnerships, and shared threat assessments centred on Iran, the US can maintain deterrence with smaller direct force presence while the regional allies shoulder more of the security burden. This logic — analogous to the NATO burden-sharing model in Europe — requires that regional states trust each other sufficiently to cooperate, trust the US security commitment sufficiently to invest in the framework, and share threat assessments clearly enough to coordinate. October 7 disrupted all three preconditions simultaneously.

The Gaza war's impact on US MENA posture was fundamentally contradictory. Biden administration policy sought to limit Israeli operations, avoid regional escalation, and maintain the diplomatic conditions for eventual normalisation — while simultaneously providing Israel with military support including 2,000-pound bombs and maintaining US carrier groups in the region as deterrent signals to Iran and Hezbollah. Secretary of State Blinken made more than 10 trips to the region in the first year of the conflict, representing the most intensive US Middle East diplomatic engagement in years . The US vetoed UN Security Council ceasefire resolutions on four separate occasions, an alignment with Israel that cost the United States enormous credibility in the Arab world and provided China and Russia with significant diplomatic capital .

## Part V — The Multipolar Middle East: Neither American Hegemony nor Chinese Replacement

The geopolitical reality of the Middle East in 2026 does not conform to either the narrative of continued US hegemony or the narrative of US replacement by China. What has emerged is a genuinely multipolar order in which energy-wealthy regional states exercise unprecedented strategic agency, leveraging competition between great powers to extract maximum advantage from all available relationships simultaneously.

China's structural limitations in the Middle East are profound. It has no CENTCOM equivalent — no Middle East security command capable of deploying force, providing security guarantees, or credibly deterring state-level military threats . China's sole military base in the region is the Djibouti facility, established in 2017 with approximately 400 troops focused on anti-piracy operations and protecting Chinese citizens — a presence orders of magnitude smaller than the US CENTCOM footprint . No Gulf state has concluded that Chinese security guarantees are a viable substitute for American ones, and this calculation is unlikely to change unless China builds a Pacific-scale forward military presence in the Indian Ocean — a deployment that would take a decade and carry its own strategic costs.

Saudi Arabia's contemporary strategic posture — simultaneously hosting US Patriot and THAAD batteries, partially maintaining Huawei telecommunications infrastructure, coordinating with Russia in OPEC+, negotiating with Iran under Chinese mediation, and exploring Israeli normalisation under US facilitation — represents the operationalisation of strategic autonomy as national policy . The UAE Foreign Minister's formulation captures the regional zeitgeist precisely: "we are not with anyone, we are with ourselves" . This posture is possible only because the Gulf states' hydrocarbon wealth makes them genuinely indispensable to multiple competing powers, and their geographic position at the intersection of the world's most critical shipping routes gives them structural leverage that poorer states could not exercise.

The Middle East 2026 balance of influence reflects this complexity. The United States retains security dominance expressed through bases, treaties, arms sales, and the ultimate deterrent credibility of carrier strike group deployment. China retains economic primacy expressed through trade volumes, investment flows, and energy market relationships that no American diplomatic initiative has reversed. Russia retains influence in specific domains — Syria, Libya, OPEC+ energy pricing — while its post-Ukraine military diversion reduces its capacity for broader regional engagement. Regional states — Saudi Arabia under Vision 2030, UAE through its AI and financial hub ambitions, Turkey through its BRICS-plus-NATO hybrid positioning, Qatar through LNG diplomacy — are asserting agency at a level without historical precedent in the post-World War II order.

The energy transition represents the ultimate long-term wildcard for petro-state power. If global oil demand peaks and begins structural decline — as IEA scenarios project under accelerated clean energy transition — the structural foundations of Gulf leverage erode over a generational timescale . The energy revenues that sustain Gulf military procurement, sovereign wealth funds, AI investment, and diplomatic autonomy derive from an economic model whose duration is uncertain. The urgency visible in Vision 2030, NEOM, and UAE AI investment reflects an awareness at elite levels that the window for economic diversification is finite and the timeline for executing it is compressed.

---

## Conclusion

US-China competition in the Middle East is less zero-sum than the confrontations playing out in the Taiwan Strait or the South China Sea. Both Washington and Beijing need the Gulf's energy and its geography, both have systemic vulnerabilities the other can exploit, and neither is positioned to simply exclude the other from the region without costs that would undermine the broader competition. Gulf states have internalised this reality and are executing a maximisation strategy — extracting military guarantees from Washington, capital from Chinese trade, energy coordination with Moscow, and diplomatic recognition from all parties — that would have been impossible in the Cold War's binary alignment system. The post-American Middle East, if it arrives, will not be a Chinese Middle East. It will be a multipolar Middle East in which the states that once deferred to Washington exercise the kind of independent strategic agency that their wealth, their geography, and the fragmentation of great-power competition now permits.

---

Blue Lotus Research Intelligence | Middle East Series | August 2026 | Open Intelligence. All figures drawn from publicly available institutional sources. No proprietary data. Produced for strategic research purposes.